Dry Bulk Shipping

Bi-Weekly Industry Report

October 13, 2026

- **Capesize Spot Rates Hit Two-month Lows –** Although Capesize spot rates have **declined by approximately $20,000** from their early-September multi-year highs, they remain comfortably above the $30,000 threshold, representing a 40% year-over-year increase. This recent retreat likely stems from iron ore transportation costs hitting a decade-high percentage of the commodity's price, which has subsequently **stifled inquiry from smaller, cost-constrained miners**. However, elevated futures trading at a premium to spot rates (contango structure) indicate widespread market optimism that this downturn is temporary. Given persistent global operational inefficiencies that continue to constrain vessel supply, **further significant declines remain unlikely** in the near term. While the market's underlying confidence does not suggest this could be the precursor to a more meaningful structural shift rather than a standard correction, a neutral, wait-and-see stance is recommended until fourth-quarter demand and **ongoing geopolitical developments** provide clearer direction while the elevated orderbook looms as a longer-term headwind in a market that is characterized by significant optimism given the record high freight levels across all shipping.

- **Iron Ore Exports out of West Africa Slowly Increase –** Although Brazil remains the dominant supplier of Atlantic iron ore, a gradual expansion of West African export volumes is steadily capturing regional market share. Propelled by the ongoing ramp-up of the Simandou project**, West Africa is projected to secure an approximate 15% share** of regional iron ore Capesize exports in the third quarter. While near-term shifts are driven by transitory factors, including adverse weather and margin compression among smaller Brazilian miners, the data indicates an underlying structural transformation. Although a comprehensive reallocation of market share will require several years to materialize, this development will **influence the Capesize market for the foreseeable future**, even though the definitive impact on tonne-mile demand remains minimal due to relative shipping distances.

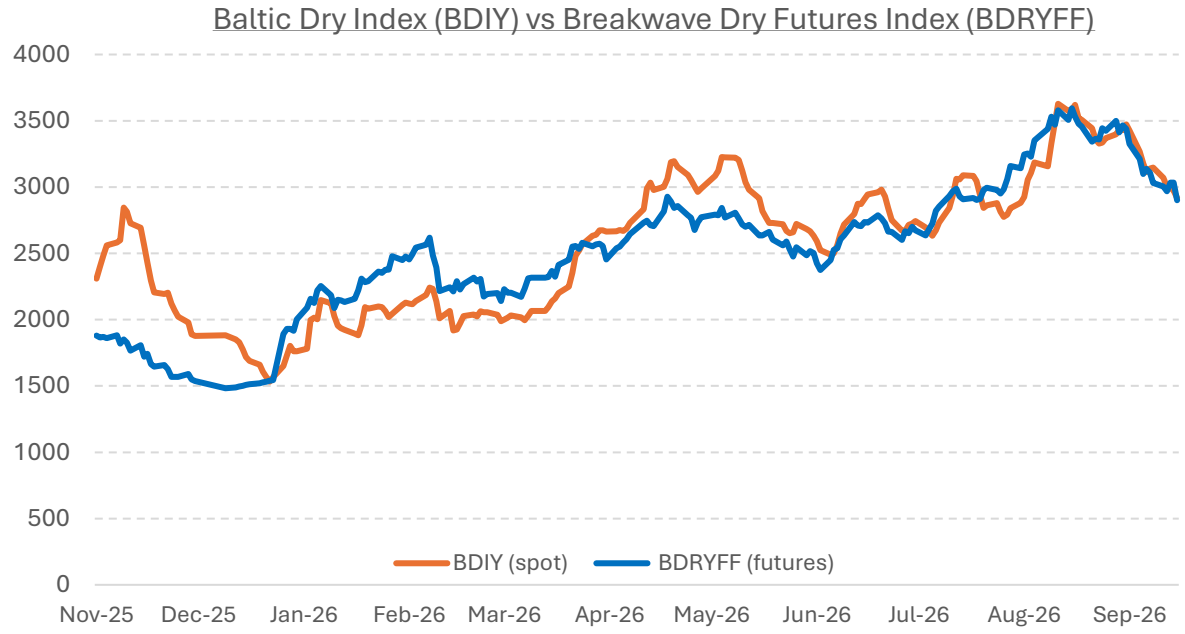
- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and rather steady but elevated fleet growth.

Short-term Indicators	
Momentum:	**Negative**
Sentiment:	**Positive**
Fundamentals:	**Neutral**

Breakwave Dry Futures Index:	**2892**
30D: -16.3%	↓
YTD: 88.8%	↑
YOY: 47.6%	↑
Baltic Dry Index (spot):	**2852**
30D: -18.7%	↓
YTD: 51.9%	↑
YOY: 47.3%	↑

Reuters:	BDRY.K
Bloomberg:	BDRY US
Exchange:	NYSE

Breakwave Advisors Research
research@breakwaveadvisors.com



The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.

Dry Bulk Fundamentals

Demand	**YTD**	**YOY**
China Steel Production	652mt	-3.0%
China Steel Inventories	4.2mt	-10.5%
China Iron Ore Inventories	153mt	15.1%
China Iron Ore Imports	846mt	5.4%
China Coal Imports	310mt	3.4%
China Soybean Imports	74mt	1.3%
Brazil Iron Ore Exports	264mt	-0.6%
Australia Iron Ore Exports	622mt	3.8%

Supply		
Dry Bulk Fleet	1093 mdwt	3.7%

Freight Rates		
Baltic Dry Index, Average	2,603	68.7%
Capesize Spot Rates, Average	33,781	77.5%
Panamax Spot rates, Average	18,439	46.2%

***Note**: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
***Sources**: Bloomberg, IEA, Clarksons and Breakwave Advisors*
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